B S R & Co. LLP
Chartered Accountants

8th floor, Business Plaza Westin Hotel Campus
36/3-B, Koregaon Park Annex Mundhwa Road,
Ghorpadi Pune - 411 001, India
Telephone: +91 (20) 6747 7300
Fax: +91 (20) 6747 7100

REPORT ON STATEMENT OF POSSIBLE SPECIAL TAX BENEFITS

The Board of Directors
SEDEMAC Mechatronics Limited (formerly known as SEDEMAC Mechatronics Private Limited)
Survey No. 270/1/A/2, Pallod Farms
Baner Road, Baner,
Pune - 411045

Date: 16 February 2026

Subject: Statement of possible special tax benefits ("the Statement") available to SEDEMAC Mechatronics Limited (formerly known as SEDEMAC Mechatronics Private Limited) ("the Company") and its shareholders, prepared in accordance with the requirement under Schedule VI – Part A - Clause (9) (L) of the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018, as amended ("the ICDR Regulations")

This report is issued in accordance with the Engagement Letter dated 09 October 2025 and addendum to engagement letter dated 14 October 2025.

We hereby report that the enclosed Annexure I prepared by the Company, initialed by us for identification purpose, states the possible special tax benefits available to the Company and its shareholders under direct and indirect taxes (together the "Tax Laws"), presently in force in India as on the signing date, which are defined in Annexure II (List of Direct and Indirect Tax Laws ('Tax Laws')) prepared by the Company, initialed by us for identification purpose. These possible special tax benefits are dependent on the Company and its shareholders fulfilling the conditions prescribed under the relevant provisions of the Tax Laws. Hence, the ability of the Company and its shareholders to derive these possible special tax benefits is dependent upon their fulfilling such conditions, which is based on business imperatives the Company may face in the future and accordingly, the Company and its shareholders may or may not choose to fulfill.

The benefits discussed in the enclosed Annexure I cover the possible special tax benefits available to the Company and its shareholders and do not cover any general tax benefits available to the Company and its shareholders. Further, the preparation of the enclosed Annexure I and its contents is the responsibility of the management of the Company. We were informed that the Statement is only intended to provide general information to the investors and is neither designed nor intended to be a substitute for professional tax advice. In view of the individual nature of the tax consequences and the changing Tax Laws, each investor is advised to consult his or her own tax consultant with respect to the specific tax implications arising out of their participation in the proposed initial public offering of equity shares of the Company (the "Proposed Offer") particularly in view of the fact that certain recently enacted legislation may not have a direct legal precedent or may have a different interpretation on the possible special tax benefits, which an investor can avail. Neither we are suggesting nor advising the investors to invest money based on the Statement.

We conducted our examination in accordance with the Guidance Note on Reports or Certificates for Special Purposes (Revised 2016) ("Guidance Note") issued by the Institute of Chartered Accountants of India. The Guidance Note requires that we comply with ethical requirements of the Code of Ethics issued by the Institute of Chartered Accountants of India. Our scope of work did not involve performance of any audit test in this context of our examination. Accordingly, we do not express an audit opinion.

We have complied with the relevant applicable requirements of the Standard on Quality Control (SQC) 1, Quality Control for Firms that Perform Audits and Reviews of Historical Financial information, and Other Assurance and Related Services Engagements.

We do not express any opinion or provide any assurance as to whether:

i) the Company and its shareholders will continue to obtain these possible special tax benefits in future; or
ii) the conditions prescribed for availing the possible special tax benefits where applicable, have been/would be met with.

The contents of the enclosed Annexures are based on the information, explanation and representations obtained from the Company, and on the basis of our understanding of the business activities and operations of the Company.

Our views expressed herein are based on the facts and assumptions indicated to us. No assurance is given that the revenue authorities/ courts will concur with the views expressed herein. Our views are based on the existing provisions of the Tax Laws and its interpretation, which are subject to change from time to time. We do not assume responsibility to update the views consequent to such changes. We shall not be liable to the Company for any claims, liabilities or expenses relating to this assignment except to the extent of fees relating to this assignment, as finally judicially determined to have resulted primarily from bad faith or intentional misconduct. We will not be liable to the Company and any other person in respect of this report, except as per applicable law.

We hereby give consent to include this report in the Red Herring Prospectus and Prospectus and in any other material used in connection with the Proposed Offer and it is not to be used, referred to or distributed for any other purpose without our prior written consent.

For **B S R & Co. LLP**
Chartered Accountants
Firm's Registration No: 101248W/W-100022

KALPESH RAMESHCHANDRA KHANDELWAL
Digitally signed by KALPESH RAMESHCHANDRA KHANDELWAL
Date: 2026.02.16 20:02:20 +05'30'

Kalpesh Khandelwal
Partner
Membership No: 133124
UDIN:26133124JBIXRV4902

Place: Pune
Date: 16 February 2026

ANNEXURE I

STATEMENT OF POSSIBLE SPECIAL TAX BENEFITS AVAILABLE TO SEDEMAC Mechatronics Limited ("THE COMPANY") AND ITS SHAREHOLDERS UNDER THE APPLICABLE DIRECT AND INDIRECT TAXES ("TAX LAWS")

Outlined below are the Possible Special Tax Benefits available to the Company and its shareholders under the Tax Laws. These Possible Special Tax Benefits are dependent on the Company and its shareholders fulfilling the conditions prescribed under the Tax Laws. Hence, the ability of the Company and its shareholders to derive the Possible Special Tax Benefits is dependent upon fulfilling such conditions, which are based on business imperatives it faces in the future, it may or may not choose to fulfill.

UNDER THE TAX LAWS

A. *Possible Special tax benefits available to the Company*

1. The possible Special direct tax benefits available to the Company are Concessional Tax Rate under Section 115BAA of the Income-tax Act, 1961, Deduction for Employment Generation under section Section 80JJAA of the Income-tax Act, 1961, Deduction for Scientific Research Expenditure under Section 35(1) of the Income-tax Act, 1961, Additional depreciation under Section 32(1)(iia) may be available if the Company does not opt for concessional tax rate.
2. The possible Special Indirect tax benefits available to the Company are Duty Drawback (DBK) Under Customs Act, 1962- Section 74 and 75, Remission of Duties and Taxes on Exported Products (RoDTEP) Notification under section 51B of the Customs Act, 1962 has been issued by DoR on RoDTEP scheme guidelines (Notification No. 76/2021 dated 23.09.2021), Sedemac Mechatronics Ltd. is registered with the Department of Scientific & Industrial Research (DSIR) for purpose of availing customs duty exemption in terms of Government Notification No. 51/96 - Customs dated 23.07.1996; The Company is availing benefits under the Package Scheme of Incentives (PSI) notified by the Maharashtra Government.

B. *Possible Special tax benefits available to Shareholders*

1. The possible special tax benefits available to Shareholders are (i) Long-term capital gains arising from transfer of inter alia an equity share exceeding INR 125,000 shall be taxed at 12.5% plus applicable surcharge and cess (without benefit of indexation) under section 112A of the Act of such capital gains subject to fulfillment of prescribed conditions. Further, in respect of non-resident shareholder foreign exchange rate fluctuation as per first proviso to section 48 of the Act shall not be available if capital gains are taxable under section 112 or 112A of the Act. Short-term capital gains arising from transfer of inter alia an equity share shall be taxed at 20% plus applicable surcharge and cess under section 111A of the Act subject to fulfillment of prescribed conditions. (ii) Availament of the beneficial tax rates on capital gains or dividends under applicable double taxation avoidance agreements (DTAA) if the shareholder in Non-resident. (iii) In respect of non-resident shareholders, the tax rates and the consequent taxation shall be further subject to any benefits available under the applicable Double Taxation Avoidance Agreement, if any, between India and the country in which the non-resident is resident. (iv) In respect of dividend, it is taxable in the hands of shareholders. For residents, it is taxed at applicable slab rates with a limited deduction under Section 57 (restricted to interest expense on loans taken to invest in dividend-yielding instruments up to

20% of such dividend income); for non-residents, it is subject to TDS at 20% (plus surcharge and cess) or a lower rate as per the relevant DTAA.

NOTES:

1. The above is as per the current Tax Laws in force in India.

2. The above Statement of possible special tax benefits sets out the provisions of Tax Laws in a summary manner only and is not a complete analysis or listing of all the existing and potential tax consequences of the purchase, ownership and disposal of equity shares of the Company.

3. This Statement does not discuss any tax consequences in any country outside India of an investment in the equity shares of the Company. The shareholders / investors in any country outside India are advised to consult their own professional advisors regarding possible income tax consequences that apply to them under the laws of such jurisdiction.

For and on behalf of SEDEMAC Mechatronics Limited

Rajesh Madhukar Sheth

Digitally signed by Rajesh Madhukar Sheth
Date: 2026.02.16 19:44:50 +05'30'

Rajesh Madhukar Seth
Chief Financial Officer
Place: Pune
Date: 16 February 2026

ANNEXURE II
LIST OF DIRECT AND INDIRECT TAX LAWS ('TAX LAWS')

Sr. No:	Details of Tax Laws
1.	Income-tax Act, 1961 and Income-tax Rules, 1962
2.	Central Goods and Services Tax Act, 2017
3.	Integrated Goods and Services Tax Act, 2017
4.	State Goods and Services Tax Act, 2017
5.	Customs Act, 1962 and Customs Tariff Act, 1975 read with respective rules, circulars and notifications made thereunder

For and on behalf of SEDEMAC Mechatronics Limited

Rajesh Madhukar Sheth

Digitally signed by Rajesh Madhukar Sheth
Date: 2026.02.16 19:45:27 +05'30'

Rajesh Madhukar Sheth
Chief Financial Officer
Place: Pune
Date: 16 February 2026